

Man Industries (India) Ltd

SEBI Imposes 2-Year Trading Restrictions on Executives, While Business Growth Plans Remain Intact



BUY @ CMP INR 364

Target Cut to INR 458 in 24 months

Upside Potential: 25.8%

Regulatory Impact Update Note

SEBI has concluded an investigation, based on a forensic audit of Man Industries' books for the period FY15-21, identifying

- **misrepresentation of financial statements,**
- **non-consolidation of subsidiary Merino Shelters Pvt. Ltd. (MSPL),**
- **unapproved related party transactions,**
- **diversion of funds to subsidiaries, and**
- **inadequate disclosure of intra-group loans.**

The order imposes a **2-year restriction on the company's key executives** from trading in securities and a **monetary penalty of INR 25 lakh each**, while investor trading in MIIL shares remains unaffected.

The management of MAN Industries (India) Ltd (MAN India) responded to SEBI's allegations by emphasizing that loans to subsidiaries like MSPL were routine, fully repaid with interest, and that net-basis disclosure complied with Ind AS 24. They also claimed Section 186 exemptions for infrastructure applied. **SEBI rejected these contentions, ruling that MIIL's pipe manufacturing business does not qualify for the exemption**, net-basis disclosure suppressed gross transaction values, and past actions constituted financial misrepresentation and misutilisation of funds.

Management has clarified that these are **legacy matters**, with **MSPL consolidated since FY23-24**, and partial monetization of INR 70 crore realized, with INR 650-700 crore receivable over 5-6 years.

Our take – The SEBI order is a regulatory overhang but does not derail the fundamental growth story. We retain our growth prospects and overall positivity around the business ([please refer our IC note](#)).

Taking into consideration the cooperate governance faux pas, we have downgraded the earnings multiple to 12X FY28 P/E (lowest 1 yr fwd valuation multiple that the company has traded historically) leading to a 16.1% cut in our price target to INR 458 (from INR 546 earlier).

Industry Steel Pipes

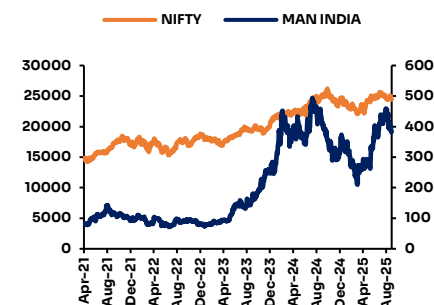
Scrip Details

Face Value (INR)	5.00
Market Cap (INR Cr)	2,730
Price (INR)	364
No of Sh O/S (Cr)	7.5
1M Avg Vol (000)	4,08,838
52W H/L (INR)	469/ 201
Dividend Yield (%)	0.52

Shareholding (%) Jul 2025

Promoter	43.2
Institution	4.1
Public	52.7
TOTAL	100.0

Price Chart



Rating Methodology

We rate stocks on the 2 years absolute return basis.

Rating	Criteria	Definition
BUY	$\geq 20\%$	Target price is equal to or more than 20% of CMP
HOLD	$\geq 0\%$ to $< 20\%$	Target price is more than CMP but less than 20% of CMP
SELL	$\leq 0\%$ (negative return)	Target price is less than CMP
NOT RATED	No recommendation	No target

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Corporate Office: I-Think Techno Campus, 8th Floor, 'B' Wing, Off Pokhran Road No 2, Eastern Express Highway, Thane (W) - 400608